

**Does Homeownership Increase Life
Satisfaction?
Evidence from the United Kingdom,
2013–2022**

EC226: Econometrics 1 — Group Assignment

Group 17

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1 Introduction

Homeownership has occupied a central place in the economic and social fabric of the UK for decades and is associated with financial security, wealth accumulation, and personal well-being. The topic has gained prominence over the past two decades, as access to home ownership has become increasingly constrained, particularly for younger cohorts facing rising house prices and stagnant real incomes (Cribb et al. 2018). However, it remains unclear whether homeownership itself improves individuals’ life satisfaction or whether the observed relationship simply reflects the difference between those who are able to buy homes and those who systematically are not.

This paper investigates the causal relationship between housing tenure and life satisfaction in the UK using panel data from Understanding Society (2013–2022). Our central research question is: *does homeownership increase life satisfaction, and does this effect vary by age group and mortgage status?* We contribute to the existing literature in three ways. First, we provide contemporary UK evidence on a question examined primarily in international contexts by Will and Renz (2024) and Cho et al. (2023). Second, we exploit the granular four-category tenure classification available in Understanding Society to distinguish between outright owners, mortgaged owners, private renters, and social renters, allowing us to assess whether the benefit of ownership depends on whether it is debt-financed. Third, we test whether the ownership premium in life satisfaction is heterogeneous across age groups, examining the hypothesis that younger cohorts — who have been largely priced out of the UK housing market — derive no measurable satisfaction gain from the limited ownership they achieve.

Our main findings are as follows. A pooled OLS regression yields a substantial positive association between ownership and life satisfaction, but this shrinks markedly upon the introduction of individual fixed effects, indicating that much of the raw association reflects selection rather than a causal effect. Within the fixed effects framework, only debt-free outright ownership is associated with a statistically significant improvement in life satisfaction. Mortgaged ownership carries a smaller, marginally insignificant premium once individual unobservables are controlled for. Crucially, the ownership premium is entirely absent among respondents under 40, but present — albeit marginally — among those aged 40 and over. Finally, we find no evidence that homeownership provided an additional buffer to life satisfaction during the COVID-19 pandemic, a null result that carries theoretical implications worthy of future study.

The remainder of the paper is structured as follows. Section 2 reviews the relevant literature. Section 3 describes the data and variables. Section 4 sets out the econometric methodology. Section 5 presents and interprets the empirical results. Section 6 concludes.

2 Literature Review

The theoretical case for homeownership raising subjective wellbeing rests on several mechanisms: greater residential stability and security of tenure, the pride associated with ownership, and housing wealth as a buffer against adverse income shocks (Rohe et al. 2002). Against these, ownership involves mortgage debt servicing, reduced geographic mobility, and exposure to house price crash risk.

Will and Renz (2024) examine the relationship using the German Socio-Economic Panel and find that while housing satisfaction is higher for owners, life satisfaction shows no significant long-run improvement following purchase. Germany is a low-ownership rental market with institutional support for long-term renting that does not exist in the UK (Will and Renz 2024, p. 35), so their null result may reflect the social acceptability of renting rather than a general absence of an ownership premium.

ViforJ et al. (2024) use Australian panel data and find that the wellbeing gap between owners and renters widens with age, that outright owners benefit more than mortgaged owners, and that mortgage debt can eliminate the ownership premium entirely beyond age 50. These findings directly motivated our empirical strategy.

Cho et al. (2023) use the Korean Labour and Income Panel Study and find a positive effect of ownership on life satisfaction, particularly in the short term, with larger effects for lower-income households. This raises the possibility that the UK’s widening affordability gap may be eroding the psychological return to ownership for those who historically benefited most.

3 Data

3.1 Understanding Society

Our analysis uses ten consecutive waves of Understanding Society (UKHLS), covering 2013–2022 (Waves e through n). Understanding Society is a longitudinal household panel survey conducted by the Institute for Social and Economic Research at the University of Essex, interviewing approximately 40,000 UK households annually and re-interviewing the same individuals each wave (?).

The panel is unbalanced, with individuals observed between one and ten times across the sample period. Of the 70,949 unique individuals with at least one observation, 14,699 appear in all ten waves and a further 5,816 appear in nine, providing a substantial stock of within-person variation on which fixed effects identification relies. The full analytical sample, after restricting to adults aged 18 and over with valid responses on the outcome and key explanatory variables, comprises 312,942 person-wave observations.

3.2 Variables

Dependent variable. Life satisfaction is measured with the question “How dissatisfied or satisfied are you with your life overall?”, recorded on a seven-point scale ranging from 1 (completely dissatisfied) to 7 (completely satisfied). This is a standard measure of subjective wellbeing in household panel surveys. While Will and Renz (2024) and ViforJ et al. (2024) use a 0–10 scale, our measure is conceptually comparable. In our sample, the distribution is left-skewed, with a mean of 5.22 and a modal response of 6.

Key explanatory variable. Housing tenure is recorded across eight categories in Understanding Society, which we collapse to four: *owned outright*, *mortgaged*, *social rent* (local authority or housing association), and *private rent*. Employer-provided accommodation and residual categories are set to missing. Private rent serves as the reference category, as it represents the primary market alternative to ownership; coefficients are therefore interpreted as the difference in life satisfaction relative to private renters.

Control variables. Following Will and Renz (2024), we include age and age-squared, log net personal income, a partnered dummy, number of children, and employment status dummies for unemployed, retired, and long-term sick respondents, with employed as the reference. A binary COVID-19 indicator covers Waves l and m (2020–2021). Sex and educational attainment are included in the OLS baseline but are absorbed by individual fixed effects in panel specifications.

4 Methodology

4.1 Baseline OLS

As a baseline, we estimate a pooled OLS regression of the form:

$$S_{it} = \alpha + \beta_1 \text{Tenure}_{it} + \mathbf{X}'_{it}\boldsymbol{\gamma} + \delta_r + \lambda_t + \varepsilon_{it} \quad (1)$$

where S_{it} is the life satisfaction score for individual i in wave t , Tenure_{it} is a vector of tenure dummies, $\mathbf{X}_{it}$ is the vector of time-varying controls, δ_r denotes region fixed effects, and λ_t denotes wave fixed effects. The OLS estimate of β_1 is likely to be upward-biased because individuals who purchase homes are systematically different from renters along unobserved dimensions such as financial stability, future-orientation, and stable personal relationships, all of which independently predict higher life satisfaction.

4.2 Fixed Effects

To address selection on time-invariant unobservables, our preferred specification is a two-way fixed effects (TWFE) model:

$$S_{it} = \alpha_i + \lambda_t + \beta_1 \text{Tenure}_{it} + \mathbf{X}'_{it}\boldsymbol{\gamma} + \varepsilon_{it} \quad (2)$$

where α_i absorbs all time-invariant individual characteristics, observed or otherwise. Identification of β_1 comes exclusively from individuals who change tenure between waves, and wave fixed effects λ_t absorb common time shocks including the pandemic and aggregate housing market movements.

We justify the fixed effects over pooled OLS using an F-test for the joint significance of individual effects ($F = 4.057$, $p < 0.001$), rejecting the null of no unobserved heterogeneity. To choose between fixed and random effects, we use a Hausman test, which strongly rejects the null that individual effects are uncorrelated with the regressors ($\chi^2(11) = 2228.8$, $p < 0.001$), indicating correlation between individual effects and regressors.

Finally, a Breusch–Godfrey-type test detects serial correlation in the idiosyncratic error term ($p < 0.001$), consistent with repeated observations. We therefore cluster standard errors at the individual level to allow for within-person correlation over time.

4.3 Heterogeneity Analysis

To examine generational differences, we re-estimate the TWFE model separately for respondents under 40 and those aged 40 and over. We also include interactions between tenure and the COVID-19 dummy to test whether ownership provided an additional buffer to life satisfaction during the pandemic.

4.4 Instrumental Variables

A limitation of the TWFE is that it fails to control for time-varying unobservables, creating bias. We attempt to address this using an instrumental variables (IV) strategy.

Our proposed instrument is the log of the regional house price index, constructed from Land Registry data and merged to the panel. It satisfies relevance, as higher house prices reduce the affordability of homeownership, mechanically reducing the probability of purchase for liquidity-constrained households. The exclusion restriction requires that price levels affect life satisfaction only through tenure. We argue this is plausible conditional on region and time fixed effects, which absorb time-invariant regional characteristics and common macroeconomic shocks, so identification relies on within-region variation over time.

5 Results

5.1 Main Results

Table 2 presents the main results. Column (1) reports the pooled OLS estimate; Column (2) the TWFE estimate; and Column (3) the TWFE model with tenure–COVID interactions.

The OLS estimates in Column (1) indicate a substantial raw association between homeownership and life satisfaction. Relative to private renters, mortgaged owners score 0.227 points higher and outright owners 0.299 points higher, both highly significant. Social renters score 0.139 points lower than private renters, consistent with the literature on neighbourhood effects associated with social housing (Rohe et al. 2002).

Column (2) shows that these associations attenuate substantially under individual fixed effects. The coefficient on outright ownership falls from 0.299 to 0.077 — a reduction of approximately 74 per cent — and remains significant at the one per cent level. The mortgage coefficient falls from 0.227 to 0.031 and is not significant under clustered standard errors ($p = 0.109$). The social rent coefficient becomes indistinguishable from zero. This attenuation indicates that the majority of the raw association reflects positive selection: individuals who purchase homes are systematically happier along unobserved time-invariant dimensions. Will and Renz (2024) document a similar pattern for Germany.

The near-zero mortgage coefficient is consistent with ViforJ et al. (2024), who find that mortgage debt depresses the wellbeing benefits of ownership. An interaction specification adding tenure–COVID dummies (Column 3) yields no significant interactions, suggesting homeownership did not provide an additional buffer during the pandemic.

The financial burden of servicing a mortgage may offset the security benefits that ownership is expected to provide. Results are robust to restricting the sample to tenure changers only and to replacing life satisfaction with the GHQ-12 distress score (Table 5).

5.2 Age Heterogeneity

Table 3 presents TWFE estimates by age group. Among respondents under 40, no tenure category is associated with a statistically significant change in life satisfaction: the coefficient on outright ownership is 0.035 ($p = 0.223$) and on mortgaged ownership 0.032 ($p = 0.158$). Among respondents aged 40 and over, outright ownership approaches significance at the ten per cent level (0.058, $p = 0.050$), while mortgaged ownership remains negligible.

For younger adults, homeownership does not appear to deliver the life satisfaction premium that motivates the aspiration to own. Younger homeowners are more likely to carry substantial mortgage debt, and the associated financial strain may offset any security benefit (ViforJ et al. 2024). Policies designed to facilitate entry into mortgaged ownership among younger households — such as Help to Buy or the Lifetime ISA — may therefore

deliver limited wellbeing returns if the satisfaction premium is contingent on debt-free ownership.

5.3 Instrumental Variables

Table 4 presents OLS, TWFE, and IV estimates using a binary owner/renter dummy. The OLS premium is 0.307 (Column 1), falling to 0.057 under fixed effects (Column 2). The IV estimate in Column (3) is -2.298 but is not statistically significant ($p = 0.222$).

The weak instrument F-statistic is 4.975, well below the threshold of 10 recommended by Staiger and Stock (1997), indicating that the regional house price index does not predict individual tenure status with sufficient precision. Under weak instruments, two-stage least squares estimates are biased and standard errors unreliable (Staiger and Stock 1997), accounting for the implausible sign and magnitude of the IV coefficient. The Wu-Hausman test does not reject the consistency of OLS ($p = 0.077$), suggesting endogeneity may be less severe than feared and supporting TWFE as the preferred specification.

6 Conclusion

This paper examined housing tenure and life satisfaction in the UK using ten waves of Understanding Society (2013–2022). Three findings emerge.

First, the positive association between homeownership and life satisfaction in OLS is driven by selection bias. Once individual fixed effects are introduced, the outright ownership premium falls by approximately 74 percent, while the premium for mortgaged ownership becomes statistically insignificant, mirroring the pattern documented by Will and Renz (2024).

Second, the residual positive effect in the TWFE framework is confined to debt-free outright ownership and to respondents aged 40 and over. Among under-40s, no ownership category is associated with a significant improvement in life satisfaction, consistent with the heterogeneity by age and debt status documented by ViforJ et al. (2024).

Third, homeownership did not provide an additional buffer to life satisfaction during COVID-19, and the IV strategy is undermined by a weak first stage. The exclusion restriction is also difficult to defend fully: regional house prices may affect life satisfaction through channels other than tenure, such as local cost of living or wealth expectations. For future research, credible causal identification likely requires sharper instruments, such as discontinuities in stamp duty thresholds or Right to Buy policy variation across devolved nations, and we leave this to future work.

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Appendix

Table 1: Summary Statistics

Variable	Mean	Std. Dev.	Min	Max
<i>Panel structure</i>				
Full dataset (person-wave obs.)	366,618	—	—	—
Analytical sample	312,942	—	—	—
Unique individuals	71,131	—	—	—
Waves (e–n, 2013–2022)	10	—	—	—
<i>Outcome variable</i>				
Life satisfaction (1–7)	5.17	1.45	1	7
<i>Housing tenure (% of non-missing obs.)</i>				
Owned outright	37.3	—	0	1
Mortgage	38.5	—	0	1
Social rent	16.1	—	0	1
Private rent	8.0	—	0	1
<i>Demographics</i>				
Age (years)	49.2	18.8	16	103
Female (%)	54.7	—	0	1
Partnered (%)	75.1	—	0	1
Number of children	0.44	0.87	0	9
<i>Economic variables</i>				
Net monthly income (median, £)	1,342	—	0	—
Unemployed (%)	4.3	—	0	1
Retired (%)	25.1	—	0	1
Long-term sick (%)	3.4	—	0	1

Notes: Source: Understanding Society (UKHLS), Waves e–n, 2013–2022, SN 6614. The analytical sample of 312,942 reflects listwise deletion of observations missing on any regression variable, including 22,996 observations missing on housing tenure. Tenure shares are percentages of non-missing observations and exclude employer-provided accommodation and residual “other” categories. Net monthly income is reported as the median due to right skew; the log transformation applied in regressions reduces the influence of outliers. Partnered includes married and cohabiting respondents.

Table 2: Housing Tenure and Life Satisfaction, UK 2013–2022

	(1)	(2)	(3)
	OLS	FE	FE $\times$ COVID
<i>Reference: Private rent</i>			
Social rent	−0.142*** (0.011)	−0.005 (0.022)	−0.008 (0.022)
Mortgage	0.227*** (0.010)	0.031* (0.017)	0.029* (0.018)
Owned outright	0.299*** (0.010)	0.077*** (0.019)	0.084*** (0.019)
Age	−0.024*** (0.001)	−0.006 (0.008)	−0.008 (0.008)
Age ²	0.0002*** (0.00001)	0.0004*** (0.00002)	0.0004*** (0.00002)
Log income	0.013*** (0.001)	−0.002 (0.002)	−0.001 (0.002)
Partnered	0.138*** (0.006)	0.002 (0.011)	0.002 (0.011)
Number of children	0.034*** (0.003)	0.005 (0.006)	0.006 (0.006)
Unemployed	−0.665*** (0.013)	−0.312*** (0.014)	−0.312*** (0.014)
Retired	0.188*** (0.010)	0.108*** (0.013)	0.109*** (0.013)
Long-term sick	−1.497*** (0.015)	−0.566*** (0.021)	−0.565*** (0.021)
COVID dummy	0.075*** (0.011)		
Social rent $\times$ COVID			0.016 (0.025)
Mortgage $\times$ COVID			0.007 (0.022)
Owned outright $\times$ COVID			−0.032 (0.022)

Table 2 (continued)

	(1)	(2)	(3)
	OLS	FE	FE $\times$ COVID
Individual FE	No	Yes	Yes
Wave FE	Yes	Yes	Yes
Region FE	Yes	No	No
Observations	312,823	312,942	312,942
R^2	0.087	0.006	0.006
Adj. R^2	0.087	-0.241	-0.241

Notes: Dependent variable is life satisfaction on a 1–7 scale. Reference tenure category is private rent. Standard errors in parentheses. Column (1) includes region and wave fixed effects; sex is included as a control. Columns (2) and (3) use two-way fixed effects (individual and wave); sex and education are absorbed by the individual fixed effect. The negative adjusted R^2 in Columns (2) and (3) is standard in two-way fixed effects models with large numbers of individual effects. $*p < 0.10$, $**p < 0.05$, $***p < 0.01$.

Table 3: Fixed Effects Estimates by Age Group

	(1)	(2)
	Under 40	Aged 40 and over
<i>Reference: Private rent</i>		
Social rent	0.005 (0.030)	−0.011 (0.033)
Mortgage	0.032 (0.023)	0.002 (0.028)
Owned outright	0.035 (0.028)	0.058* (0.029)
Age	0.018 (0.019)	0.040*** (0.012)
Age ²	0.001*** (0.0002)	0.00004 (0.00004)
Log income	−0.005* (0.002)	0.009*** (0.002)
Partnered	−0.052*** (0.017)	0.035** (0.015)
Number of children	0.026** (0.011)	0.027*** (0.010)
Unemployed	−0.300*** (0.020)	−0.310*** (0.021)
Retired	−0.373 (0.326)	0.113*** (0.014)
Long-term sick	−0.700*** (0.046)	−0.516*** (0.025)
Individual FE	Yes	Yes
Wave FE	Yes	Yes
Observations	96,133	216,809
Unique individuals	26,441	40,422
R^2	0.007	0.005

Notes: Dependent variable is life satisfaction on a 1–7 scale. Reference tenure category is private rent. Two-way fixed effects (individual and wave). Standard errors in parentheses. The retired coefficient in Column (1) is imprecisely estimated due to the small number of retired individuals below age 40. $*p < 0.10$, $**p < 0.05$, $***p < 0.01$.

Table 4: OLS, Fixed Effects, and IV Estimates of the Ownership Premium

	(1)	(2)	(3)
	OLS	Fixed Effects	IV
Owner (= 1)	0.307*** (0.006)	0.057*** (0.011)	-2.298 (1.881)
Controls	Yes	Yes	Yes
Individual FE	No	Yes	No
Wave FE	Yes	Yes	Yes
Region FE	Yes	No	Yes
Observations	332,501	332,652	332,515
R^2	0.084	0.006	—
<i>IV diagnostics (Column 3 only)</i>			
Weak instruments F			4.975
Wu-Hausman p -value			0.077

Notes: Dependent variable is life satisfaction on a 1–7 scale. Owner is a binary indicator equal to 1 if the respondent owns their home outright or with a mortgage. The instrument in Column (3) is the log of the regional average house price from the Land Registry UK House Price Index, merged by Government Office Region and year. The weak instrument F -statistic of 4.975 falls below the threshold of 10 (Staiger and Stock 1997); the IV estimate should not be interpreted causally. Standard errors in parentheses. $*p < 0.10$, $**p < 0.05$, $***p < 0.01$.

Table 5: Robustness Checks

	(1)	(2)	(3)
	Main FE	Changers only	GHQ-12 score
	<i>DV: Life sat.</i>	<i>DV: Life sat.</i>	<i>DV: Distress</i>
<i>Reference: Private rent</i>			
Social rent	−0.005 (0.022)	−0.009 (0.022)	0.142* (0.078)
Mortgage	0.031* (0.017)	0.036* (0.017)	0.187** (0.062)
Owned outright	0.077*** (0.019)	0.058** (0.019)	−0.165* (0.068)
Individual FE	Yes	Yes	Yes
Wave FE	Yes	Yes	Yes
Observations	312,942	100,446	314,099
Unique individuals	62,382	16,170	62,957
R^2	0.006	0.010	0.010

Notes: All columns use two-way fixed effects (individual and wave). Reference tenure category is private rent. Column (1) reproduces the main result from Table 2. Column (2) restricts to the 16,170 individuals who changed tenure at least once (100,446 observations). Column (3) replaces life satisfaction with the GHQ-12 psychological distress score; higher values indicate greater distress, so the expected sign on ownership is negative. Standard errors in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 6: Variable Names and Definitions

Variable	UKHLS source	Definition
<code>sclfsato</code>	<code>w_sclfsato</code>	Life satisfaction, 1–7 scale
<code>scghq1_dv</code>	<code>w_scghq1_dv</code>	GHQ-12 psychological distress score; higher = greater distress
<code>tenure_dv</code>	<code>w_tenure_dv</code>	Housing tenure; 8 raw categories collapsed to 4 (see text)
<code>owner</code>	Derived	Binary: 1 if owned outright or mortgaged, 0 otherwise
<code>dvage</code>	<code>w_dvage</code>	Age in years
<code>sex</code>	<code>w_sex</code>	Sex (1 = male, 2 = female)
<code>mastat_dv</code>	<code>w_mastat_dv</code>	Marital status; partnered = 1 if married or cohabiting
<code>nchild_dv</code>	<code>w_nchild_dv</code>	Number of dependent children in household
<code>hiqual_dv</code>	<code>w_hiqual_dv</code>	Highest educational qualification; absorbed by individual FE
<code>jbstat</code>	<code>w_jbstat</code>	Employment status; dummies for unemployed (3), retired (4), sick (8)
<code>fimnnet_dv</code>	<code>w_fimnnet_dv</code>	Net personal monthly income (£); log-transformed
<code>gor_dv</code>	<code>w_gor_dv</code>	Government Office Region, codes 1–12
<code>log_hpi</code>	Land Registry HPI	Log average house price by region and year; IV instrument

Notes: Prefix `w_` denotes the wave letter (e–n). All variables from Understanding Society SN 6614 (`indresp` or `hhresp` files) except `log_hpi`, which is merged from the Land Registry UK House Price Index by Government Office Region and year. Negative values in UKHLS variables are missing value codes and are recoded to `NA` prior to analysis.